

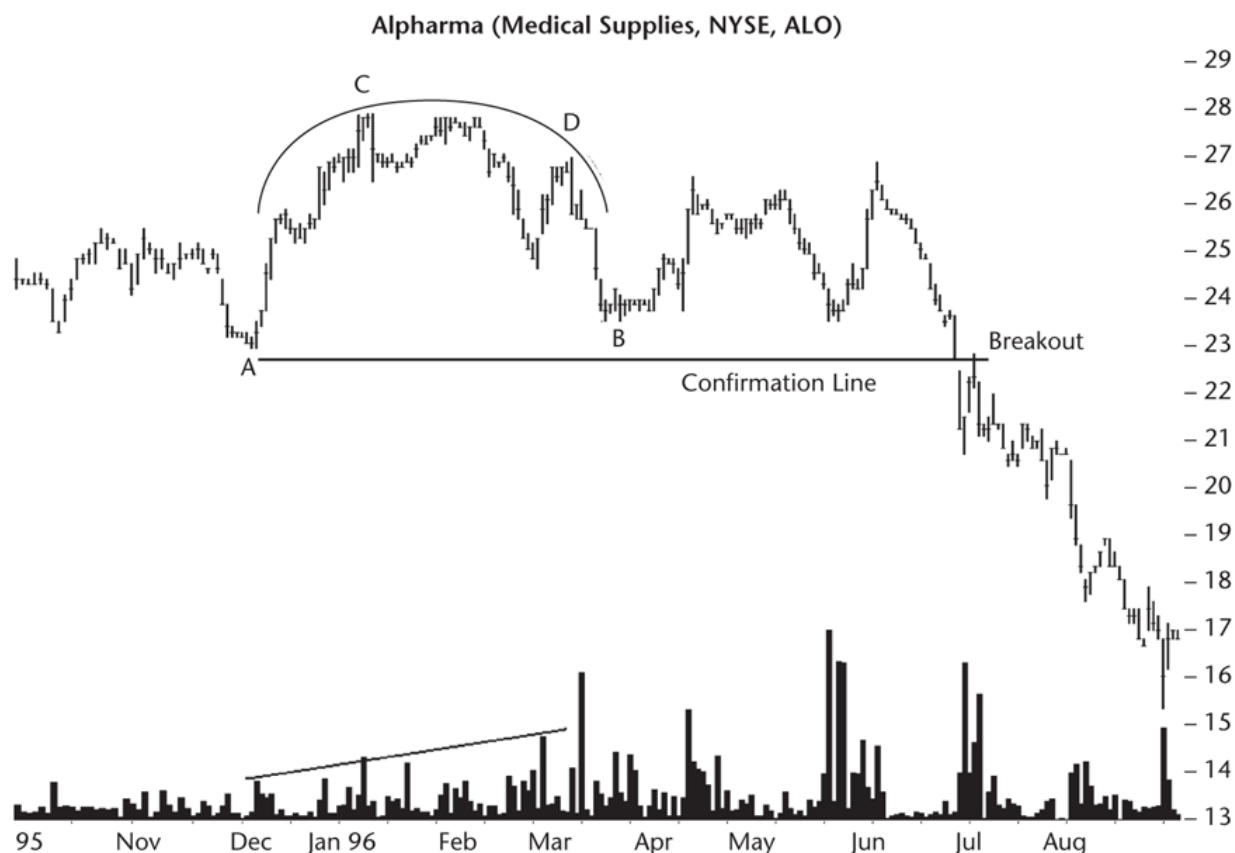


Figure 56.1 A rounding turn begins at point A and rounds over to end near the price of where it begins (B). Points C and D make the curve look irregular, but they occur often in rounding turns. Volume usually trends downward, unlike this example.

The reason a rounding turn occurs is not difficult to explain. Price moves up on bullish enthusiasm confirmed by high volume at the start. Knowing that price is climbing, sellers hold onto their shares a bit longer, forcing demand to climb along with share price. However, as price rises, buying demand tapers off and eventually catches up with supply. Price rounds over at the top. Since the shares are fetching a premium to intrinsic value, more sellers appear. The smart money starts selling, too, and price drops.

Once investors discover the upward price momentum has turned, selling pressure increases, forcing price down. Volume may pick up as more traders try to dump their shares as price declines. Eventually, the decline ends when nervous novices toss in the towel and sell their holdings. When all those who considered selling their shares have sold, the smart money jumps in